

CHAPTER 4

MAKING YOUR FORTUNE IN BUSINESS

Most family fortunes are created by successful businesses. Not by careers. Not by professions. Not by investing. Not by winning the lottery.

What follows is more of a romp through our own experience and thoughts about business than a serious rehearsal of successful techniques. There are plenty of “how-to” books on the subject already. You don’t need another one. Besides, in our experience, there are no real “how-to” rules that will do much good. Instead, there are general ideas.

Just as multigenerational families invest differently, so are there some things about family businesses that make them different from regular businesses. And so are there some things that most people take for granted about business that are probably not so.

Successful businesses are a bit like family fortunes themselves. They are difficult to bring to life. Once you’ve brought them to life, they are even more difficult to keep alive. Especially over more than one generation.

Which brings us to a pretty good starting point: The ideal fortune is not money. It is a business. A family business. Fortunes die easily. They’re like delicate birds you buy in the pet shop. Once you get them home, they are already half dead. You can give them the *coup de grâce* in a matter of months.

Money is easily spent. Easily neglected. Easily wasted. It is not solid enough to hold on to. In today’s world, it is something that usually exists only in our imaginations—or in ghostly electronic form.

You could get a statement that tells you that you have \$5 million in your account. But what does that mean? How do you know you have anything in your account? Have you ever seen it? What if your next statement told you